

Research Briefing | Italy

How to avoid falling into a looming debt trap

Economist

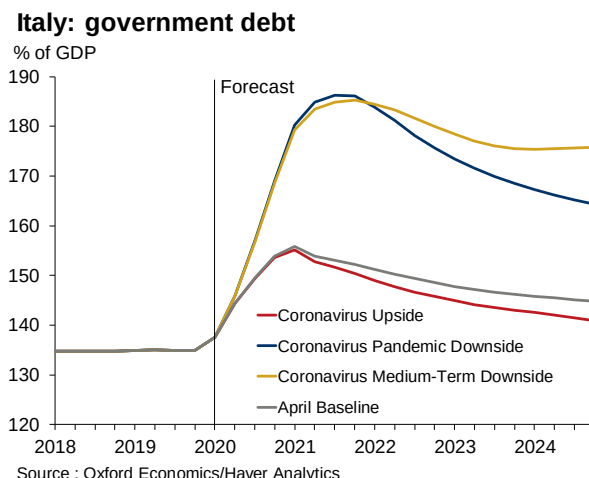
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- With Italy's public debt forecast to rise above 155% of GDP this year, the sustainability of that debt will be a recurring issue in coming years. And while the shield the ECB has put in place has been so far sufficient to cap Italian government bond yields at a relatively low level, questions remain about what happens afterwards if the ECB decides to remove it.
- We see fiscal authorities implementing some tightening measures, gradually bringing the primary balance to a surplus of around 1%-1.5% of GDP (in line with the average seen in 2011-2019) in 2022. This would be enough to keep Italian government debt on a sustainable path. But several risks, relating to both the political environment and growth, could threaten our baseline view.
- We see different strategies that Italy could use to keep its debt on a sustainable path. They'll depend on the severity of market stress and can range from increased ECB debt purchases to a credit line or a program with the European Stability Mechanism (ESM).

By the end of 2020, Italy's deficit will rise to around 10% of GDP, bringing the public debt above 155% of GDP, from 135% in 2019. In normal times this would have created extremely high concerns about Italian debt sustainability. But the shield the [ECB](#) has put in place to help mitigate the effects of the coronavirus pandemic means the huge new issuance of Italian debt this year will very likely not create panic on financial markets, assuming that other BTP holders don't swiftly shift their positions. All this leads us to assess the sustainability of Italian debt and the policy options the country will have in coming months to avoid a looming debt trap.

Figure 1: Risks to our forecast for Italian debt are skewed to the downside



In our downside scenarios, we see Italian debt peaking above 180% of GDP before stabilizing, but only very gradually.

Drop in growth and emergency policies will trigger an upward shift in debt

A large upward shift in debt

The combination of the government's emergency policies and the plunge in economic activity means Italy's **fiscal health will see a massive blow**. In our baseline we assume that the fiscal deficit will increase to around 10% of GDP and the government debt will see a level shift to around 155% of GDP. From the start of 2021, we expect Italian fiscal authorities to implement some tightening measures, gradually bringing the primary surplus to around 1.5% of GDP in 2022. Maintaining a primary surplus is crucial for decreasing Italian debt (**Figure 1**) as we forecast nominal growth rates remaining subdued over the medium term and in line with the interest rates Italy is paying on its debt. Moreover, several risks, such as how the pandemic progresses and the length of the lockdown, could threaten our baseline view.

The table (**Figure 2**) below shows the debt-to-GDP ratio that's likely to occur by 2025, starting from the estimate we currently have for government debt in 2020. It assumes different profiles for nominal GDP and fiscal easing and considers interest rates to be exogenous and around 2.5%. The latter is broadly in line with current Italian interest rates and with the 2019 figure. **Moreover, fairly low interest rates, coupled with relatively long debt maturity (around seven years), mean interest rates per se will not derail debt dynamics, at least in the short term. The risks to our debt baseline projections are linked to a combination of fiscal policy assumptions and growth projections.**

If the primary balance stabilises at 0% in the medium term instead of our 1.5% baseline and nominal GDP growth fails to be more than 3%, the path for debt sustainability gets even narrower, with debt over GDP likely increasing over the next five years.

But with respect to fiscal stances, Italy has proved that reaching a primary surplus of 1.5% is realistic. Indeed, it has achieved a 1.5% primary surplus on average since 2011. There's a risk that as a consequence of the dire economic conditions the appetite for fiscal tightening could be lower over coming years. But even the populist government formed by the Five Star Movement and the Lega helped reach a primary surplus of 1.7% and a headline deficit of 1.6% in 2019, the lowest since 2007.

Figure 2: putting Italian debt back on a sustainable path will require some adjustments

Italy: Debt/GDP change in 2025 from 2020 (157% of GDP)

		Nominal GDP growth										
		-5%	-4%	-3%	-2%	-1%	0%	1%	2%	3%	4%	5%
Primary balance (% of GDP)	4%	49%	38%	27%	18%	8%	0%	-9%	-16%	-24%	-30%	-37%
	3%	55%	44%	33%	23%	14%	5%	-3%	-11%	-19%	-26%	-32%
	2%	61%	49%	39%	29%	19%	10%	2%	-6%	-14%	-21%	-27%
	1%	67%	55%	44%	34%	24%	15%	7%	-1%	-9%	-16%	-23%
	0%	73%	61%	50%	40%	30%	21%	12%	4%	-4%	-11%	-18%
	-1%	78%	67%	55%	45%	35%	26%	17%	9%	1%	-6%	-13%
	-2%	84%	72%	61%	50%	41%	31%	22%	14%	6%	-1%	-8%
	-3%	90%	78%	67%	56%	46%	36%	27%	19%	11%	4%	-4%
	-4%	96%	84%	72%	61%	51%	42%	33%	24%	16%	8%	1%

Source: Oxford Economics calculation based on assumption for implied interest rate at 2.5%

Therefore, the risks around Italian debt are more related to nominal growth rather than fiscal policies. Indeed, the real problem for Italy over the last 20 years has been lack of growth, not excessive deficits. And while our baseline forecast already sees a big hit to 2020 activity, it assumes a gradual recovery in H2. We expect real GDP growth to average almost 2% in 2020-2025, with inflation around 1%, leaving nominal GDP growth at around 3%. While this is lower than other eurozone peers, it's quite high relative to recent Italian standards.

Nominal GDP growth at around 2%, 1ppt lower than our current baseline, means that in order to decrease the debt by around 10ppts by 2025, the primary balance would have to increase to 3% of GDP. Other than further reducing support for growth, this tighter fiscal stance will be difficult to achieve from a political point of view, highlighting the importance of economic growth as a key factor in ensuring debt sustainability.

Another way of looking at risks around our baseline forecast is to focus on the different narrative-based scenarios that we [produced](#) alongside our April baseline. **Figure 1** shows Italian debt dynamics for four scenarios: our baseline scenario, an upside scenario, and two downside scenarios. The outcome of the [upside scenario](#), which sees medical advances spurring a more rapid easing of the lockdown and a slightly more positive impact on medium-term growth, is a bit better than our baseline. Accordingly, Italian public debt over GDP would be around 5ppts lower than our baseline by 2024.

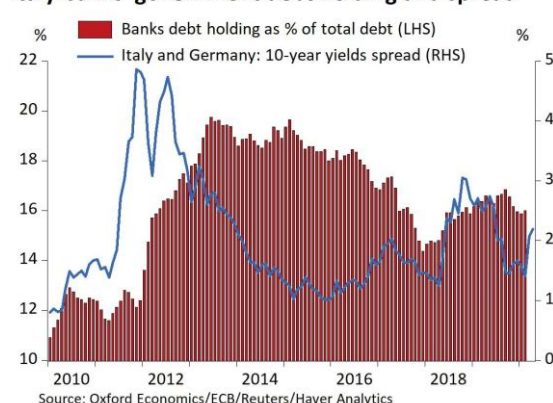
The two downside scenarios differ only in the medium-term dynamics. The key difference is that the impacts in the more severe case (Coronavirus Medium-Term Downside) are longer lasting due to a financial crisis, which limits credit supply to the economy. In addition to that, slower productivity growth has bigger effects in the medium term, and more austerity measures are needed to maintain debt projections on a sustainable dynamic. As a consequence of some austerity measures that bring the primary surplus to 2% of GDP by 2023, the debt, after having peaked above 180%, will stabilise but remains above 170% in the more severe downside scenario. Debt stays above 160% of GDP in the [Coronavirus Pandemic Downside](#), after having peaked at 185% of GDP.

Furthermore, in the more negative scenario, we would expect the “[doom loop](#)” between banks and government debt to swiftly come to the fore again. Italian banks still own a big portion of Italian debt, representing around 10% of their total assets, as banks have increased their sovereign holdings in periods of debt stress (**Figure 3**). While today banks are better [capitalized](#) and the ECB’s QE keeps sovereign interest rates at reasonably low levels, the sovereign bank doom loop remains a threat for Italy. It can re-emerge very strongly in case of more adverse effects on the economy than we currently forecast.

In our downside scenarios, Italian debt is seen peaking above 180% of GDP, before gradually stabilizing

Figure 3: Italian banks usually increase their government holdings in periods of stress

Italy: banks' government debt holding and spread



Italian banks own around 16% of Italian sovereign debt. Holdings of this debt have increased in periods of debt stress, keeping the doom loop between the banking system and the government alive.

A range of solutions can put Italian debt on a sustainable path

After having discussed the current environment and the risks around our baseline, in **Figure 4** we summarize the strategies Italy can use to maintain its debt on a sustainable path, differentiated by the level of stress on the financial markets. The ongoing political debate, both in Italy and in Europe, plays an important role in each

possible option, therefore some of the strategies aren't finalized yet. Moreover, some of the available options can be complementary.

Figure 4: Currently available toolkit of strategies to handle Italian sovereign debt

Italian government debt management strategies			
Case 1: No market stress			
Solution	Description	Advantages	Weaknesses
Market conditions return to the "pre-coronavirus" situation	Interest rates similar to pre-crisis/current levels as markets do not change perception even though government debt increases.	Given the ECB's PEPP and TLTRO, an adequate national fiscal response and a coordinated European safety net (including the Recovery fund) would help preserving favourable market conditions.	If national political turmoil increases or disagreement at European level rises, the situation can deteriorate fastly.
Case 2: Mild market stress - increased financing costs			
Solution	Description	Advantages	Weaknesses
ECB continues to buy Italian bonds to ensure spreads remain closed	APP continues and interest rates are maintained.	Already set up and done by the ECB	Other countries could put pressure on ECB's exposure towards one single country.
Some mutualisation of debt at a European level (i.e. eurobonds)	Government bonds issued jointly by the eurozone countries	Italy would benefit from lower financing cost. If this instrument would be centrally issued (no by single DMOs), there are already institution with market presence (i.e. EIB)	Huge political debate between high indebted and low indebted countries. Perceived loss of sovereignty in debt issuance.
Pandemic crisis support	ESM credit line linked to the pandemic with no conditionality attached (only transparency on expenditures would be required).	A "pandemic credit line" has been agreed. It would make use of an instrument already in place (ECCL), with only little adjustments. Little or no stigma would be attached if it is envisaged for this specific shock and if multiple countries apply.	Political pressure from some countries on absence of conditionality and Italy's resistance to the ESM. Short availability of the credit line (one year extendible for an additional more). The proposed 2% of GDP size could be too little to reassure the markets. Access to OMT is very unlikely with no conditionality.
ESM Credit line with conditionality	ESM proper credit line.	The instrument is already available and feasible to implement (ECCL). Access to ECB's OMT can be foreseen.	Same as for the Pandemics crisis support but stronger stigma attached.
Case 3: Severe market stress - potential loss of market access			
Solution	Description	Advantages	Weaknesses
Political ad hoc situation	The government takes extraordinary measures to finance fiscal expenditures (i.e. "patrimoniale", "prelievo forzoso"...).	Italy has a considerable level of personal savings and this kind of solution would not require Europe's intervention.	Politically very costly.
Macro-adjustment program	ESM loan.	Italy would gain in terms of financing cost over a longer period. OMT access	A 10-15 year loan facility may not bring huge benefit in terms of cost reduction given the level of outstanding debt + political resistance is augmented in this case (a more perceived loss of sovereignty).
Macro-adjustment + debt restructuring	ESM loan granted conditional on some private sector involvement (haircut applied to debt holdings)	Same as for the macro-adjustment program + reduction of debt level.	Same for the macro-adjustment program + PSI is socially undesirable.
Italexit	Italy withdraws its membership from the EU and the euro.	Confrontation with European institutions escalates + internal consensus/pressure spreads. Italy "refuses" to be bail-out.	Self-inflicted economic disaster.

Below, we describe the options that will support Italy in maintaining its access to the financial markets in case of increasing market tensions that could lead to rising borrowing costs, but not to a loss of market access. We can also implicitly assume that some of these options are already considered in the baseline and will help Italy maintain its debt funding cost at low level and at around 2.5% over the forecast horizon. In the last section of **Figure 4** we also present more drastic options that Italy could rely on in case of solvency issues.

Currently, Italy can count on a few EU instruments. Alongside the current ECB's aid package (PEPP and TLTRO), Italy can rely on the recovery fund recently [proposed by the Eurogroup](#) and [endorsed by the European Council](#). Even though the fund's final size and strategy are still under discussion, we expect that a portion of the funds will be made available directly in the form of grants, while another portion will generate investment through loans. According to recent news, the target size, including indirect spending, should be around €1.5tn for the entire eurozone, but the aid would be accessible only from 2021.

In case of increasing market tensions, Italian debt can still count on the ECB, which under the current asset purchase program and via Bank of Italy currently holds more than 20% of Italian government debt. In addition, the **ECB may increase the share of Italian bonds in its asset purchases**, given that the new PEPP is not strictly following the

principle of proportionality to the capital key. PEPP is set to expire at the end of 2020, but given the size of the pandemic crisis, it's likely to [continue](#) and probably even expand. Moreover, some ECB officials, such as Philip [Lane](#), have explicitly opened to the idea of having the ECB countering non-fundamental volatility in spreads because it "impairs the smooth transmission of monetary policy across countries." **In this context, as one of the most affected member states, Italy will probably continue to be the main beneficiary. But tensions between euro area countries could arise with respect to the ECB's exposure towards a single country.** Indeed, some low-indebted and fiscally prudent countries such as Netherlands and Germany may express disagreement with the ECB buying an even higher proportion of Italian BTPs.

The political debate about a possible **debt mutualisation** has paused for political reasons. The plan could consist of common debt issuances to finance the part of debt accumulated to mitigate the effects of the COVID-19 crisis. Italy would then benefit from more favourable borrowing costs because it would be jointly backed by all the member states and could have market access in a phase of mild market stress. Since the political debate about these instruments remains very controversial, the common notes issuance could also be "twisted" and targeted to cover part of the expenses related to the coronavirus crisis.

At the moment, the most probable and nearly immediate feasible solution in case of market stress for Italian BTPs would be the **pandemic credit support granted by the ESM**. Once the terms are finalised in coming weeks, Italy could apply for a credit line that would be available to all countries of the single currency bloc to cover expenditures related to direct and indirect health care costs. This credit line is worth up to 2% of each country's GDP (around €36bn for Italy), so it's very likely not sufficient for Italy's financial needs. As an instrument adapted specifically for the pandemic crisis, it would offer immediate funds to be reimbursed at very favourable terms, with a likely lower stigma attached than what we saw during the sovereign crisis.

The design phase of the instrument has generated a debate about the possibility of the pandemic line to gain access to the ECB's Outright Monetary Transactions programme (OMT). The ECB's commitment to buy an unlimited amount of short-maturity sovereign bonds of a single country would immediately assure the markets. Still, although the decision lies ultimately with the ECB, we think using the OMT for pandemic support will be difficult given the very light conditions attached.

However, a proper **ESM credit line** (ECCL) is unlikely at the moment given the high political resistance. The size of the aid would be bigger than the pandemic assistance and proportionate to the crisis, but stricter conditions would be involved. In this case, access to the ECB's [OMT](#) would be expected, restoring calm in the financial markets. The downside of using this instrument is the stronger stigma attached. Given the current Italian political stance towards European institutions, we think the ECCL is very unlikely to be used in the near term.

As anticipated above, these options would be only enough to allow Italy to maintain access to financial markets in a period of stress. Other more drastic options for putting Italian debt on a sustainable path (such as a proper macro-adjustment program with some debt restructuring) don't currently enter into our baseline scenario. Those, along with their consequences for the overall economy, will be covered in future publications.